

Table 5: IV estimates and decomposition of the total effect of elite peers on elite degree enrolment

	Low SES		High SES	
	(1)	(2)	(3)	(4)
	OLS	IV	OLS	IV
A - Dependent variable: GPA				
Proportion of parents with elite degree (std)		-0.039*** (0.007)		-0.010 (0.010)
Student took written math exam (IV)		0.095*** (0.011)		0.043*** (0.018)
<i>F stat</i>		77.471		5.567
B - Dependent variable: elite degree enrolment				
Proportion of parents with elite degree (std)	0.011*** (0.004)	0.026*** (0.004)	0.032*** (0.009)	0.049*** (0.019)
Overall high school GPA		0.385*** (0.053)		1.771** (0.714)
C - Decomposition				
Direct effect		0.026		0.049
Indirect effect		-0.015		-0.018
Total effect		0.011		0.031
<i>Number of pupils</i>	58,586	58,586	19,968	19,968
<i>Number of schools</i>	500	500	409	409

Notes: Data source, Norwegian administrative data. Sample of students ending middle school and entering high school between 2002-2010. Columns (1) and (3) report OLS estimation. Columns (2) and (4) report two-stage least squares estimation, where the IV for high school GPA is lottery to take written exam in maths in year 3 of high school. Dependent variable is indicator for studying for an elite (graduate) degree. Model controls the same as Table 2 including school, cohort and additionally high school program fixed effects. Regressions are weighted by school size to take account of the parent peer variables group averages, taken from groups of different sizes. Standard errors clustered at the school level. *** p<0.01, ** p<0.05, * p<0.1